

Boundary-spanning and boundary-buffering in global markets

A German perspective on the internationalization of family firms

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Boundary-spanning

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Abstract

Purpose – This paper aims to provide a novel way of thinking about firm internationalization. We offer a stylized view of family firms as internationalizers who choose to engage in “boundary-spanning” across global product markets while engaging in “boundary-buffering” to insulate themselves from global financial markets.

Design/methodology/approach – The case of Germany, with its large stock of internationalized family firms, shows how boundary-buffering *vis-à-vis* global capital markets can be compatible with successful and sustained internationalization and boundary-spanning in global product markets. Statistics are supplied.

Findings – To compensate for the lack of resources stemming from their abstinence from global financial markets, German family firms draw on country-specific conditions favorable to the proliferation of large internationalized family firms. Insights from the German case serve to derive propositions.

Originality/value – The developed concept of an internationalization pathway for family firms contrasts with the much more established concept of an internationalization process for family firms. The contrast between a “pathway” and a “process” amounts to the distinction between ends and means: the internationalization pathway (as defined here) has largely to do with strategic choice, whereas the internationalization process (as defined in the literature) focuses more on barriers to internationalization and means for overcoming them.

Keywords Germany, Family firms, Financialization, Firm internationalization, Global financial markets

Paper type Conceptual paper

1. Introduction

Despite attracting relatively little attention in the scholarship on the international expansion of firms relative to large, publicly held corporations and new ventures, family firms are quietly becoming key players in global markets (Zahra, 2003; Steier, 2009; Ramadani and Hoy, 2015). For family firms, internationalization has become a strategy for growth, and often, even for survival (Casillas *et al.*, 2010; Kontinen and Ojala, 2010). It is generally maintained, however, that family firms often lack the financial and managerial resources to handle the additional cost and complexity of managing a globally dispersed organization, and thus, they are often prone to avoid international diversification (Fernández and Nieto, 2005, 2006; Kontinen and Ojala, 2010; Carney *et al.*, 2013; Colli, 2013).

To shed new light on the relationship between family ownership and internationalization, we focus on the important case of Germany, a country featuring a high proportion of large-scale internationalized firms in family ownership. As documented below, many family-controlled firms in Germany have quietly grown to such an extent that giant family



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firms now constitute a significant component of the German private sector (Gottschalk *et al.*, 2014). This has happened in a country whose involvement in global trade flows is unparalleled among the large economies (Brutscher *et al.*, 2012). According to World Bank statistics, for the year 2013, Germany's exports of goods and services were surpassed only by China and the USA (World Bank, 2015). In terms of such exports as a percentage of GDP, however, Germany with 45.6 per cent is, by far, the leader among leading exporting countries (in comparison: China 26.4 per cent, USA 13.5 per cent and France 28.3 per cent). The correlation between the high export intensity and the high-level of family ownership of the German economy is no statistical fluke. The lion's share of Germany's "hidden champions", those 1,300-1,500 specialized firms that dominate market niches on a global scale, are, in fact, family firms (Simon, 2012).

On the surface, the German case, taken in isolation, appears to suggest that family ownership is beneficial rather than a handicap for firm internationalization. How can one reconcile the German case with what is generally known about family firms and internationalization? To address this research gap and derive fresh insights from this apparent national outlier, the following analysis proceeds at two levels:

- (1) At a macro level, we identify some of the national institutional characteristics of Germany that make family firm ownership more compatible with firm internationalization in Germany than in many other countries. We explain why Germany is an outlier while also deriving propositions about national characteristics that can reduce the tension at the firm level between being a family firm and internationalizing the business.
- (2) At a micro level, we develop an alternative perspective on firm internationalization. From the German case, we develop a stylized view of family firms as internationalizers who choose to engage in "boundary-spanning" across global product markets while engaging in "boundary-buffering" to insulate themselves from global financial markets. We theorize that such insulation reflects more than just owner preferences. Exposure to global capital markets jeopardizes the "familiness" that characterizes and creates the special competitive advantages of family firms (Habbershon and Williams, 1999). Thus, the pattern of "boundary-spanning" across global product markets and "boundary-buffering" *vis-à-vis* global financial markets can be seen as strategic choice.

To simplify the discussion, we will frame the key issue motivating firms to insulate themselves from global capital markets as "financialization". Though the term has multiple definitions (Krippner, 2005), the most often-cited definition of financialization pertains to the increasing preponderance of "financial motives, financial markets, financial actors and financial institutions in the operation of domestic and international economies" (Epstein, 2005, p. 3). With respect to the impact of financialization on firms, the term refers principally to the ascendancy of US-inspired shareholder value as a mode of governance (Lazonick and O'Sullivan, 2000; Williams, 2000). The effort of family firms to buffer themselves from global capital markets is tantamount to avoiding financialization, meaning that they wish to avoid sacrificing their "familiness" (Habbershon and Williams, 1999) to the pressures of global capital markets, e.g. having to adopt a shareholder value orientation.

To be sure, internationalizing family firms do tap capital markets, and occasionally, even foreign capital markets, but from the perspective of internationalization, the key point is that they limit their exposure to them in significant ways. The discussion proceeds as follows. Section 2 presents a framework outlining the different paths of internationalization according to whether or not they actively embrace global capital markets or, on the contrary,

shield themselves from such markets. Section 3 explains our methodology, and Section 4, noting the large number of internationalized German family firms, draws on the German case as a basis for deriving propositions about the national conditions likely to foster the emergence of internationalized family firms, despite their abstinence from global equity markets. Section 5 works out the theoretical implications of the analysis relative to prior literature on the internationalization of family firms and portrays the internationalization pathway of family firms as an implicit or explicit strategic choice. Section 6 spells out some of the avenues for further research. Section 7 concludes with limitations of the analysis.

2. Boundary-spanning and boundary-buffering as postures of firm internationalization

Although most research on the internationalization of firms takes it almost for granted that the crossing of national product market boundaries is what the phenomenon describes, an emerging body of inquiry calls attention to the crossing of national capital market boundaries as a no less challenging dimension of firm internationalization (Stulz, 1999; Blass and Yafeh, 2001; Bell *et al.*, 2012). Logically, firms that seek to internationalize across product markets should seek to internationalize across capital markets as well for the simple reason that international expansion is costly. All things being equal, internationalization across product markets should, at least in the longer run, entail internationalization across capital markets as well to finance internationalized operations (Bell *et al.*, 2012).

Despite the logical nexus between product and capital markets in internationalization, we posit a pattern of bifurcation in the posture that internationalizing firms adopt toward global capital markets. Whereas most publicly traded firms are fundamentally open to the idea of embracing global capital markets to finance their activities, the majority of the world's firms – namely, family firms – are fundamentally inclined to insulate themselves from global capital markets. This insight overlaps with the recognition that financial strategies are a more significant differentiating characteristic of firm types than their product market strategies. The following conclusion from a literature survey on German family firms clarifies the issue:

Generalizable differences between the strategies of family and nonfamily businesses can only be found in the field of finance. Due to their striving for independence, family businesses do prefer (internal) equity financing – this result is confirmed by all studies found in this field (Schlömer-Laufen *et al.*, 2014, p. 11).

The globalization of product and capital markets creates special opportunities and challenges for firm strategy (Etemad *et al.*, 2001). In the terminology used here, many internationalizing firms ultimately seek to “span” both the product and capital markets, leveraging their home base advantages while simultaneously trying to reduce the liabilities of foreignness (Zaheer, 1995; Bell *et al.*, 2012). This spanning posture toward internationalization is only one option, however. Another posture, “buffering”, constitutes an alternative and equally common approach to internationalization, especially concerning capital markets. Far from just a theoretical possibility or the choice of a few exotic firms, buffering corresponds to the basic posture chosen by most family firms worldwide toward capital markets even as they engage in the cross-border “spanning” of product markets. Furthermore, as illustrated in the case of German family firms, this posture is compatible with successful and sustained internationalization in product markets.

The terminologies of boundary-spanning and boundary-buffering are borrowed from research on team management. Here, we apply the terms to the whole enterprise. Boundary-spanning and boundary-buffering activities refer to two main categories of “boundary work” (Yan and Louis, 1999; Faraj and Yan, 2009; Leicht-Deobald *et al.*, 2016).

Boundary-spanning activities represent an engagement with the external environment for important resources and support (Ancona and Caldwell, 1992). Applied to teams, they especially involve efforts to develop relations with external stakeholders (Marrone, 2010; Leicht-Deobald *et al.*, 2016), such as seeking relevant information from outsiders, coordinating tasks with external parties and negotiating the scope of projects with external stakeholders (Ancona and Caldwell, 1992; De Vries *et al.*, 2014). Applied to the process of firm internationalization, boundary-spanning activities designate efforts to participate in global product and/or capital markets and to overcome liabilities of foreignness in such markets; for capital markets such efforts would aim at obtaining financing at favorable market rates in exchange for behaving and performing in ways that fulfill the expectations and requirements of financial stakeholders.

By contrast, boundary-buffering activities in teamwork refer to efforts to deflect external demands (Yan and Louis, 1999; Faraj and Yan, 2009), such as insulating external stakeholders from the team, sealing off the productive core of the team activities and reducing the variability of inputs and outputs to preserve time and effort (Yan and Louis, 1999); these activities represent a disengagement from external pressures, so that organizational members can focus on achieving a desired level of performance. Applied to internationalizing firms, boundary-buffering activities involve limiting the amount of external financing to minimize the sway of external financial stakeholders over managerial decision-making within the firm. Expressed in pointed terms, such a firm engages in boundary-buffering *vis-à-vis* capital markets to avoid “financialization” and the associated shareholder pressures that may conflict with other strategic priorities of the firm.

Figure 1 summarizes the internationalization trajectories involved, with the upper-pointing arrow capturing the specific pathway of internationalization pursued by financialized firms and the lower arrow the pathway of family firms. The lower left cell in Figure 1 represents the point of departure for all firms in a given home country. A certain number of these firms remain purely domestic and do not attempt to span either global product or capital markets. To be sure, such firms are not completely insulated from global markets or unable to take advantage of globalization. They can still be customers or suppliers of multinational corporations in the domestic market or have their shares traded to foreign investors in their home-country stock exchange. However, further stages in Figure 1 reflect that many erstwhile domestic firms aspire to more substantive involvement in international markets. We assume that all internationalizing firms (a movement toward the right), whether family or financialized, try to span global product markets in some way.

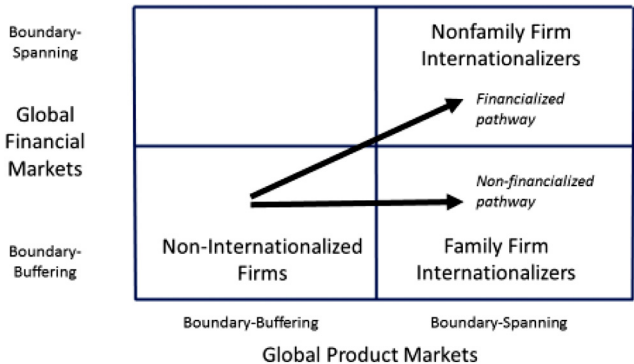


Figure 1.
Contrasting pathways
to internationalization

In so doing, internationalizing firms are willing to acquiesce to the pressures and opportunities inherent in globalized product markets. These pressures come from different sources: differing market and institutional environments in the home and host countries, customer preferences, competitors, degree of social and technological development, etc. The most well-known approach to formalizing these pressures in globalized product markets is the integration/responsiveness framework (Prahalad and Doz, 1987) and its corresponding set of four basic strategies (Bartlett and Ghoshal, 1989; Kasper *et al.*, 2009).

The vertical axis in Figure 1 concerns the firm's basic posture with regard to the pressures and opportunities emanating from the globalization of capital markets. When firms seek not only to sell products and services to foreign customers, but also potentially to raise equity, debt or venture capital from foreign sources of finance, the rise of global capital markets adds a new dimension to internationalization (Stulz, 1999). For the sake of remaining a family enterprise, however, such a firm limits its exposure to global capital markets, especially equity markets, and thus avoid "financialization". In formal terms, internationalizing firms choose between one of the two basic postures for facing global capital markets, each with its own advantages and disadvantages: a financialized pathway or a non-financialized pathway. We consider each in turn.

2.1 The financialized pathway

Firms selecting the financialized pathway, as they internationalize, face a predictable set of advantages and disadvantages. Among the advantages of financialized firms are greater access to foreign capital, and thus the means to expand their operations at a faster pace than they could on the basis of internal financing alone (Bruton *et al.*, 2009). Especially in scale-driven industries, access to foreign capital may be a competitive necessity for gaining critical mass in foreign operations. Furthermore, such firms can benefit from the knowledge of outside investors and analysts to diversify in pursuit of new opportunities.

On the other hand, capital market pressures can be short-termish in nature, forcing the firm to exit from struggling business areas, even if doing so may cause the firm to sacrifice important longer-term skills in the process. As global capital markets have arguably become more short-termish and intrusive (Hoskisson *et al.*, 2013), this competitive disadvantage may even have increased in recent years. In general, while managers of financialized firms enjoy great access to capital, they are arguably less able than family firm managers to make longer-term credible commitments to non-shareholder stakeholders, notably employees and customers (Lehrer and Schmid, 2015); by the same token, employees can less afford to identify their long-term interests with a legal entity governed by prevailing norms of shareholder value.

2.2 The non-financialized pathway

Many firms confronting globalization may see considerable advantages to remaining closely held, and thus buffering themselves from the demands of global capital markets. Family firms constitute the majority of such firms. By limiting their exposure to the pressures and reporting requirements of outside investors and financial markets, family firms can invest with a longer-term horizon, enjoy greater liberty to sacrifice short-term profits for the sake of preserving longer-term skills and loyalties and remain more credibly committed to their workers and other traditional stakeholders (Miller and Le-Breton-Miller, 2006; Ratten, 2015). This pathway also involves restrictions and disadvantages. Without broader exposure to outside capital and knowledge, these firms will likely remain focused on their traditional business niche; foreign expansion may have to proceed slowly on the basis of retained earnings. However, in a globalizing economy, even a highly specialized firm may see its potential market grow exponentially in size, so that an erstwhile niche player may grow to

considerable proportions over time. The case of Germany's "hidden champions" (Simon, 2009), as considered below, exemplifies this phenomenon.

The non-financialized pathway can be considered a strategic choice rather than merely a family preference on the basis of competitive advantages that insulation from stock market pressures allows. Indeed, firms following this pathway can and do use alternative instruments to compensate for the limiting effects of buffering. They can rely on nonfamily managers to promote innovation and technological excellence (Lazzarotti and Pellegrini, 2015) or use strategic alliances and external networks as vehicles of internationalization (Duarte Alonso and Austin, 2016; Gallo *et al.*, 2004). While a full exploration of the competitive advantages and disadvantages of dispersed ownership on capital markets lies beyond the scope of our analysis, the issue of cultivating key relationships to stakeholders beyond just the shareholders is commonly considered germane to the firm-specific competitive advantages of family firms. The ability to build social capital continuously over time constitutes one of the most fundamental competitive advantages of family firms over publicly traded companies (Steier, 2001; Carney, 2005; Arrègle *et al.*, 2007; Salvato and Melin, 2008). Such a view is consistent also with statistical evidence in recent finance studies that companies beholden to shareholder value risk causing deterioration in the intangible assets associated with customer satisfaction and employee integrity, thereby undoing at least in part the short-term gains from the results-orientation associated with shareholder value (Popadak, 2013; Johnson *et al.*, 2015).

3. Methodology

One objective of this study is to identify some key factors contributing to the large-scale internationalization of German family firms with the goal of building rather than testing theory. In this context, qualitative methods lend themselves particularly well for several reasons.

Within the international business (IB) field, the need has been expressed to distinguish between codified, universal and unambiguous knowledge that can be researched using traditional quantitative methods and more complex phenomena involving tacit and context-specific knowledge requiring more qualitative types of methodologies (Birkinshaw *et al.*, 2011). It is the latter that best describes IB activities of German family firms and the complex institutional environment in which they take place (Lehrer and Celo, 2016). Qualitative methods have played a very important role in explaining the internationalization process since the groundbreaking studies on the internationalization of Swedish companies (Johanson and Vahlne, 1977) and can once again play a critical role in understanding new phenomena and surfacing contextual differences between countries (Birkinshaw *et al.*, 2011; Doz, 2011).

Qualitative methods have also been found appropriate for capturing the specific complexity and dynamics unique to family business and their complex and tacit nature (Nordqvist *et al.*, 2009). Family business research encompasses multiple theoretical approaches and levels of analysis; qualitative methods contribute to creating the necessary diversity of methods needed to reflect the heterogeneity of the field (De Massis and Kotlar, 2014). Finally, the application of inductive and non-quantitative research represents a useful research strategy applicable to small business and entrepreneurship (Dana and Dana, 2005) and to the shaping of public policy agendas (Blackburn and Kovalainen, 2009).

There is a multitude of instruments under the umbrella of qualitative methods, and several factors played a role in our selection. While our methodology can be broadly described as a case study, our unit of analysis is the country rather than the firm. This choice was conditioned by our approach to the internationalization of family firms from a

comparative capitalisms perspective (Deeg and Jackson, 2007), with a focus on characteristics of the country's institutional environment as a determining factor. This allowed us to investigate phenomena at the intermediate level of analysis between micro-processes characterizing firm decision-making (e.g. concerning whether and how to internationalize) and "the bird's-eye view of economists and strategists, in their attempt to develop theories that apply to all organizations and societies" (Birkinshaw *et al.*, 2011, p. 575). The choice is also consistent with a varieties-of-capitalism approach (Hall and Soskice, 2001), which among many comparative frameworks for comparing the differing political economies of nations is the one most deliberately adopting a firm-centered approach to characterizing institutions in terms of capacity for coordination (Deeg and Jackson, 2007).

Our choice of Germany as a setting for our qualitative analysis was driven by two considerations. First and foremost, German family firms have been very successful in their attempts to internationalize while maintaining their status as family firms; our intention was to build theory and draw conclusions from a significant national economy rather than describe the average or typical country. Second, Germany provides a wealth of information on family firms along with a multitude of research institutes, foundations, universities, federal and state agencies promoting family businesses and their international business activities.

As in most qualitative research, we conducted a thorough review of published sources in both German and English, including periodical reports, press releases and research papers published in academic journals or in series of working papers. In addition, we conducted open-ended interviews with several experts on family firms at the Institut für Mittelstandsforschung (IfM) in Bonn and the Verband Deutscher Maschinen- und Anlagenbau (VDMA) in Frankfurt.

4. Family firms in Germany: a window on the feasibility of the non-financialized pathway of internationalization

Figure 1 postulates bifurcation between family and nonfamily firms in their pathway of internationalization. Germany, with its large population of significant family firms, has been often cited as a country whose firms exhibit such bifurcation (Deeg, 2009; Lehrer and Celo, 2016).

A famous feature of the German economy is its "hidden champions". These are the 1,300-1500 medium to large-sized firms dominating specialized niches in global markets, of which about 70 per cent are family-owned (Venohr and Meyer, 2007; Simon, 2012) and just over half are also family-managed as well (Simon, 2009, p. 286). Simon's (2009) analysis of the hidden champions indicates that among Porter's five industry forces, customers are, by far, the most important. Such firms nurture deep customer relationships to defend their market niches. They regard long-term relationships as their greatest strength and are estimated to have a closeness to customers as much as five times higher than other large companies (Simon, 2009).

In Germany, family ownership has not prevented such firms from becoming highly internationalized, as shown in a wide variety of studies (Hoffmann *et al.*, 2013). For instance, the Federation of German Industry (VDI) periodically conducts a survey of the largest family firms in Germany. A representative sample of 400 such companies (58.5 per cent industrial, 26.5 per cent commercial and 15 per cent services) from a population of the 4,500 largest family firms shows that nine out of ten firms in 2013 were active in international markets, generated average yearly sales of €369m and employed an average of 1,658 employees worldwide (Schlepphorst *et al.*, 2015).

Insulation from global capital markets has also not prevented German “hidden champions” from growing large. In his 2009 comparison of hidden champions with the same group of firms 20 years earlier, Simon (2009, p. 20) found a 270 per cent increase in the average turnover (from US\$130m to US\$434m) and jump in the average organizational size from 735 to 2,037 employees. Simon found this group of firms alone to account for about 27 per cent of German exports (Simon, 2009, p. 100). Yet, their total contribution to exports is even larger, as many are suppliers to auto makers and other larger companies; conventional trade measures inherently underestimate the importance of family firms in Germany’s export performance (Hoffmann *et al.*, 2013).

Concerning the internationalization process of German family firms, studies suggest that the choice and sequence of foreign locations takes place incrementally as described in the so-called Uppsala model (Johanson and Vahlne, 1977). Western European countries dominate as destinations of foreign activities of German family firms because of geographic proximity, but also similarities in terms of customer preferences, language, management practices and currency (Brutscher *et al.*, 2012). Once German family firms have collected experience through exporting and/or previous foreign direct investment (FDI), they venture to more “distant” countries. Through this gradual process, German hidden champions (predominantly family firms) achieve a very high degree of international diversification while maintaining a narrow degree of product diversification (Simon, 2009). Indicative of this process is the case of Kärcher (a world market leader in high-pressure cleaning equipment) and its international expansion leading to the establishment of 42 foreign subsidiaries over the period of time from 1962 to 2006 (Simon, 2009). In a close-up study that he portrays as typical for most of his German “hidden champions”, Simon (2009) showed how family-owned Kärcher deliberately internationalized at a slow steady pace, entering just one or two new countries per year.

The German case is important for showing that family ownership places fewer upper bounds on firm growth than is commonly surmised. Some 4,500 family firms in Germany exceed €50m in annual turnover, constituting a fifth of the turnover of all German firms (Wallau and Lamsfuss, 2013). The largest 500 of these firms generate an annual turnover of €300m upward (far larger than many nonfamily firms listed on the stock market), and more than 150 of them exceed the €1bn mark in annual revenue; the largest 500 family firms all employed 1,400 or more employees (Gottschalk *et al.*, 2014). Needless to say, most of these firms have grown to be highly internationalized organizations that transcend the status of merely domestic German companies.

Most countries do not feature nearly the same proportion of large internationalized family firms that Germany does, however, raising the question as to country-specific conditions favorable to the proliferation of large internationalized family firms (Lehrer and Celso, 2016). The first condition pertains to national institutional patterns favoring the long-term growth and self-financing capacity of family firms in general. Probably, the most important of these patterns concerns inheritance rules and inheritance taxes (Carney *et al.*, 2014). German family firms can remain in family hands for multiple generations, thanks to the fact that German tax laws allow them to: family owners who maintain employment levels for a set number of years can usually avoid the bulk of normal inheritance taxes. Such provisions allow German family firms to conserve capital for international expansion. Inheritance tax laws for family business owners in many other countries, including the USA, are not nearly so generous (Carney *et al.*, 2014). Hence:

- P1.* Family firms electing to internationalize and adopting the non-financialized pathway will be particularly likely to emerge in countries featuring favorable inheritance rules and inheritance taxes for family firms.

Because of their limited recourse to global financial markets, family firms are more resource-constrained than nonfamily firms having recourse to such markets. However, internationalization requires a higher dedication of resources than operating in the domestic market (Hitt *et al.*, 1997; Sanders and Carpenter, 1998; European Union, 2010). Accordingly, it is easier for family firms to internationalize that are located in countries that provide, directly or indirectly, resources of utility to family firms in internationalizing (Ratten, 2014). The most well-known and visible providers of direct resources are export-assistance agencies, which are common in Europe (Nothdurft, 1992). However, Germany's forms of direct export assistance are not in themselves exceptional (Ifo Institute, 2012, p. 212). More germane to the case of German family firms is the overall export orientation of the economy (Kalinowski, 2013), with its stock of accumulated knowledge and experience, social networks and other "soft" factors lowering the costs of export and internationalizing for German family firms. At an overall national level, Germany has followed an export-oriented model of growth (as have countries in East Asia) in contradistinction to a growth model of financialization based on liberalization of financial markets as pursued by countries like the USA and the UK (Kalinowski, 2013). Hence:

- P2.* Family firms electing to internationalize and adopting the non-financialized pathway will be particularly likely to emerge in countries featuring an overall national economic growth orientation based on export.

At the national level, one cannot fully understand the internationalization patterns of family firms by examining such firms in isolation. In Germany's export-oriented economy, so many of the industrial specialists that remain in family hands are also suppliers to large, internationalized nonfamily firms traded on the stock market (OECD, 2014), resulting in a symbiotic relationship between family and nonfamily firms (Lehrer and Celo, 2016). In other words, a specific and often overlooked advantage that German family firms have in internationalization is that they can often piggy-back on the global market reach of internationalized nonfamily firms. Symbiosis between large nonfamily firms and more specialized family firms is by no means universal (Etemad *et al.*, 2001). Unlike large firms in many other countries, large German companies "are happy to take suppliers' representatives on trade missions" to ensure swift and sure supplies of components and other products (Studzinski, 2013). Such harmonic relations between family and nonfamily firms have been frequently noted, but proven difficult to emulate elsewhere, be it in countries like South Korea, with its overreliance on a handful of autarkic giant conglomerates, or in the USA, with its high labor mobility and adversarial industrial relations (Studzinski, 2013). Hence:

- P3.* Family firms electing to internationalize and adopting the non-financialized pathway will be particularly likely to emerge in countries featuring generally symbiotic relations between family firms and large, established internationalized nonfamily firms.

Taken together, *P1-P3* summarize the essential elements of the internationalization strategy of German family firms. To compensate for the lack of resources that insulation from global financial markets entails, German family firms draw on the resources provided by German inheritance rules, the country's export orientation and harmonic relations to large, established internationalized German firms.

The preceding analysis leaves one issue open: the competitive advantage of family firms over nonfamily firms. In the finance literature, and indeed, in most of the management literature, the traditional advantage imputed to family firms over publicly traded nonfamily firms is that they incur lower agency costs due to the unification of ownership and control

(Filatotchev *et al.*, 2005; Bertrand and Schoar, 2006; Ramadani and Hoy, 2015). While not disputing this point of departure for explaining the competitive advantage of family ownership, we argue that it is a rather catch-all, abstract explanation that leaves open the more specific advantages of family firm ownership.

Considering the firm as a whole, we hypothesize that the effort of family firms to buffer themselves from the pressures of global capital markets reflects an effort to conserve important firm-specific competitive advantages, which in the main are advantages in relations to (non-shareholder) stakeholders. As mentioned, family ownership can be an expedient way of conserving the social capital of family firms, an assertion made both with respect to family firms as a whole (Steier, 2001; Arrègle *et al.*, 2007) and with respect to many German family firms in particular (Lehrer and Schmid, 2015).

To buttress this point of view, we note the much-cited annual Edelman survey of trust involving 27,000 respondents (Figure 2). Within the EU and most especially within Germany, family firms evoke the highest degree of trust among all types of firms (86 per cent), while publicly traded companies inspire the absolute lowest (39 per cent). Judging by such survey results, family firms enjoy greater trust among the general public than publicly traded firms do. To the extent that perceived trustworthiness is an indicator of accumulated social capital and even economic performance (Niazi and Hassan, 2016), these survey results point to strategic incentives for family firms to safeguard family ownership and control. To be sure, there is also a size effect: SMEs yield trust rates approaching, but slightly lower than for family firms (Figure 2). It is for that reason that in the previous section, we laid such emphasis on the phenomenon of large family firms in Germany.

The patterns revealed by these trust barometers are not unique to Germany; as seen in Figure 2, the same basic patterns also hold for North America. Indeed, even in the finance literature on US firms, an emergent stream of research suggests that protecting the firm from shareholder pressures for financial performance can also be useful for protecting relationships with other stakeholders like customers and workers. This literature reveals that opening the firm to outsiders and outside governance pressures may create some short-term gains, but can be detrimental in the longer term, especially when the firm relies on collaborations with other stakeholders.

Johnson *et al.* (2015), for instance, studied the use of takeover defenses by initial public offering (IPO) firms and found that such use positively affects the longevity of firms' business relationships, the spillovers for their large customers and the firms' valuation and subsequent operating performance, especially when these firms maintain important

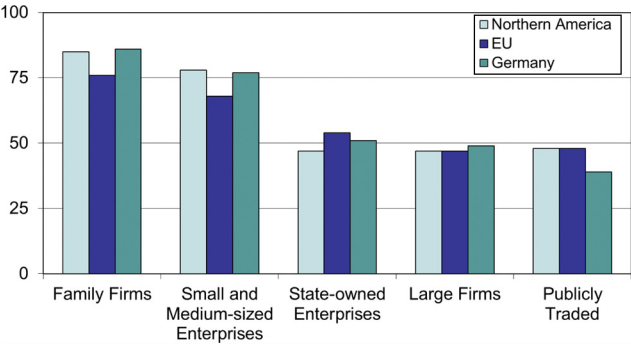


Figure 2.
Survey on “preferred
form of business
partner”

Source: 2014 Edelman Trust Barometer

business relationships to customers, suppliers and strategic allies. Such defenses increase firm value by protecting valuable firm projects that would otherwise be undervalued in the financial market by uninformed investors (Chemmanur and Jiao, 2012), by committing the firm to a business strategy that cannot easily be reversed via outside takeover (Shleifer and Summers, 1988) and by gaining favorable contracting terms in bonding firms' contractual performance with counterparties (Johnson *et al.*, 2015). In a related stream of research, Popadak (2013) focused on corporate culture as a source of corporate value. She found that shareholders initially realize financial gains from shareholder value practices, but over time, the intangible assets associated with customer satisfaction and employee integrity deteriorate, a process that partly reverses the gains from greater results-orientation. Applying this insight to the issue of internationalizing firms, family firms engage in boundary-buffering toward global financial markets to better leverage in global product markets their home base advantages in firm-specific social capital.

5. Implications for theory: process versus pathway

The framework of Figure 1 enables a reconceptualization of the internationalization of family firms. The internationalization "pathway" of a family firm, to reiterate, signifies that the family firm engages in boundary-spanning with foreign product markets but seeks to engage in boundary-buffering toward foreign capital markets. The concept of an internationalization pathway for family firms contrasts with the much-more established concept of an internationalization process for family firms. The following analysis of the contrast between a "pathway" and a "process" amounts to the distinction between ends and means: the internationalization pathway (Figure 1) has largely to do with strategic choice, whereas the internationalization process (as developed in the literature) pertains mainly to barriers to internationalization and means for overcoming them.

The internationalization process for family firms has been likened to the so-called Uppsala model (Pukall and Calabrò, 2014). In this model (Johanson and Vahlne, 1977, 2009), the "process" of internationalization occurs incrementally along two dimensions: commitment and geographic location. In terms of commitment, firms begin internationalizing with *ad hoc* exporting, and then, as sales grow, move to dealing with intermediaries, establishing their own sales organization, and eventually establishing manufacturing subsidiaries in the foreign markets. With regard to location, internationalization usually begins in foreign markets that most resemble the domestic market in terms of psychic distance, moving subsequently and gradually to markets that are further away.

Despite criticism and alternatives proposed to the Uppsala model (Oviatt and McDougall, 1994, 2005; Ratten *et al.*, 2007), this model appears best to characterize the internationalization pattern of family firms (Pukall and Calabrò, 2014), albeit not necessarily the entire SME sector (Etemad *et al.*, 2001; Ratten *et al.*, 2007). For example, Graves and Thomas (2008) studied small and medium-sized family firms and concluded that because of their risk-averse nature, limited growth aspirations and limited financial capital, they were more likely to follow the traditional process of internationalization by entering markets progressively in increasing order of psychic distance. Surveys of European family businesses likewise reveal that after their own home market, these firms view other European countries as the most promising and least risky market opportunities for future growth because of their proximity and familiarity (European Union, 2010; EFB, 2015). Further, although the whole range of different entry modes is available for family firms (e.g. franchising, licensing, establishing an overseas sales office, wholly owned manufacturing subsidiary, joint ventures, etc.), exporting is considered by far the most common foreign

market entry mode (Okoroafo, 1999; Fernández and Nieto, 2005; Graves and Thomas, 2006; Arrègle *et al.*, 2012; Pukall and Calabrò, 2014) consistent with the Uppsala model and the fact that exporting is associated with the lowest level of risk. This said, some attempts to incorporate alternative internationalization patterns, such as the so-called “born-global” MNC, have found their way into the research on the internationalization of family firms (Bell *et al.*, 2003).

A distinguishing characteristic of family firms is their high degree of continuity in leadership and organizational structure (Miller and Le-Breton-Miller, 2006). Such continuity often creates obstacles in the internationalization of family firms (Ramadani *et al.*, 2015). Family firms are usually found to be unwilling to accept outside expertise for fear of losing control (Kontinen and Ojala, 2010; Ramadani and Hoy, 2015). To the extent internationalization requires adaptation of the firm’s entrepreneurial formula, family ownership may undermine successful internationalization due to the founder’s resistance to change (Zahra, 2005) or simply the perpetuation of prior strategies (Colli, 2013).

To be sure, continuity in leadership and organizational structure need not always work to the detriment of internationalization. In some firms, family members may act as effective stewards of their existing resources and long-term orientation in ways beneficial to the internationalization process (Zahra, 2003; Arrègle *et al.*, 2012; Sciascia *et al.*, 2012). Nonetheless, the dominant tenor of prior research is that the specific governance arrangements of family firms result in greater risk-aversion to the internationalization process (Fernández and Nieto, 2005, 2006; Colli, 2013).

The foregoing discussion illustrates what is usually meant by the internationalization process as it pertains to family firms. An internationalization process essentially reflects the firm’s pattern of efforts for overcoming obstacles in moving activities abroad. Because of both external and internal obstacles, family firms manifest a high level of incrementalism in the way they internationalize, just as postulated in the Uppsala model (Johanson and Vahlne, 1977). It is with regard to the family firm’s internal obstacles that the internationalization of family firms is considered distinct from that of nonfamily firms. The family firm’s desire for independence is conceived as one such obstacle.

In contrast to the concept of internationalization process, we refer to the pathway of internationalization for family firms (Figure 1) to reconceptualize certain internal “obstacles” to internationalization (desire for independence) as a matter of strategic choice and not only a source of inertia and incrementalism. This is a complementary, not competing perspective. Both the internationalization process and what we call the internationalization pathway weigh upon the key issue of family firm resources, specifically the fundamental resource constraints of most family firms. Internationalization requires more financial, managerial and informational resources than operating in the domestic market (Hitt *et al.*, 1997; Sanders and Carpenter, 1998; European Union, 2010). Family firms lag behind nonfamily firms in terms of managerial capabilities as they expand internationally, particularly at high levels of internationalization (Graves and Thomas, 2006).

Consistent with the strategic choice perspective, several studies suggest that family firms may be able to compensate for such resource constraints through family-specific assets such as trust, altruism and social capital (Zahra, 2003; Calabrò and Mussolino, 2013; Pukall and Calabrò, 2014; EFB, 2015). For example, one way to overcome the lack of financial resources is by using network relationships to acquire needed capital (Ratten *et al.*, 2016; Wright *et al.*, 2005).

The non-financialized pathway can be considered a strategic choice, rather than merely a private preference of owners on the basis of especially relational advantages that insulation from stock market pressures entails, commensurate with the notion of firm-specific social

capital (Koiranen, 2002; Steier, 2001; Salvato and Melin, 2008). As mentioned, the ability to build social capital over time likely constitutes one of the most fundamental competitive advantages of many family firms over publicly traded companies (Carney, 2005; Arrègle *et al.*, 2007). The German case constitutes evidence of many internationalized family firms being “social capital enterprises” that stake their competitive advantages on commitments and capabilities that “capital market enterprises” (financialized firms) cannot so easily emulate (Lehrer and Schmid, 2015).

6. Implications for future empirical research

The analysis has implications at both the firm and country level. The firm-level implications, explained in the previous section, are mainly of a theoretical nature. In contrast, the implications at the country level are more of empirical relevance. Although *P1-P3* are derived from observation of the German case, they form the basis of possible cross-country comparisons. If internationalization constitutes a major threshold in the growth of firms, then one should expect systematic variation among countries in their capacity to harbor and sustain large internationalized family firms. Put differently, the relative proportion of large internationalized family firms should vary significantly from country to country, emanating from the national conditions described in *P1-P3*, namely, favorable inheritance rules, a national export orientation and symbiotic relations between family and nonfamily firms.

The next question is whether these three country-level variables are independent of each other or, on the contrary, correlated in some way as a result of institutional complementarities (Hall and Soskice, 2001; Deeg and Jackson, 2007). Research on the phenomenon of financialization (Lazonick and O’Sullivan, 2000; Epstein, 2005; Krippner, 2005) provides some reason for hypothesizing that such complementarities may exist. Some countries rely systematically on the liberalization of capital markets to promote growth; meanwhile, countries like Germany rely on other vectors of growth such as exports (Kalinowski, 2013). *Prima facie*, it seems plausible that countries relying on financialized sources of growth would be more inclined to implement policies favoring the sale of large family firms on capital markets (hence, not encouraging their perpetuation as family firms through special inheritance tax treatment) and to tacitly bias policies in favor of financialized, i.e. nonfamily firms (hence, doing little to encourage symbiotic relations between family and nonfamily firms). Only empirical cross-country comparisons, which would be a next logical extension of this research, could determine whether statistical evidence for such complementarities can be found.

Another source of complementarities would be the implicit recognition or non-recognition by national policy-makers of the importance of building social capital in firms, and hence the tendency to regard family firms as unique repositories of business-relevant social capital (Carney, 2005; Arrègle *et al.*, 2007). Such recognition could lead to policies facilitating the ability of family firms to internationalize in the way described here, namely, as “boundary-spanning” across global product markets and as “boundary-buffering” *vis-à-vis* global financial markets.

7. Limitations and conclusion

In this paper, the globalization of financial markets provided a perspective for viewing the internationalization of firms through a new lens. While all internationalizing firms engage in boundary-spanning *vis-à-vis* global *product* markets, we theorize a fundamental bifurcation of internationalizing firms in the posture they adopt *vis-à-vis* global capital markets: financialized firms engage in boundary-spanning, while family firms engage in boundary-buffering.

Although parsimony is a strength of our framework, such parsimony obviously involves a whole series of limitations:

- The two categories are clearly not exhaustive. Although our distinction between family and financialized firms, no doubt, covers the majority of firms worldwide, many types of financing arrangements and organizational forms elude this dichotomous classification scheme: closely held nonfamily firms, firms under private equity, state-owned firms etc.
- The two categories are clearly not mutually exclusive. Many family firms are also publicly traded companies. Though the work by La Porta *et al.* (1999) and others lends support to the notion that a controlling share by the family suffices to justify classification as a family firm, it is obvious that no black-white typology can possibly do justice to all the shades of gray involved in “hybrid” family-financialized arrangements, including in Germany (Deeg, 2009). Publicly traded firms that only half-heartedly attempt to implement a shareholder orientation constitute another example of shades of gray (Fiss and Zajac, 2004).
- The scheme lumps all financialized firms and all family firms into a single category. The result is simplification at both the organizational and macro-institutional level. In point of fact, the degree to which our so-called financialized firms are really subject to pressures for shareholder value depends on their specific national institutional context (Aguilera *et al.*, 2008). Shareholder prerogatives continue to vary enormously from one country to another. In a recent development, some US and UK firms previously subjected to shareholder pressures are moving their headquarters to countries like the Netherlands where corporate laws enable firms to protect themselves from hostile takeovers and other forms of shareholder pressure. Our dichotomous scheme glosses over such possibilities.

In view of these limitations, the main utility of the framework needs to be emphasized. The point of the framework was to develop a novel way of thinking about firm internationalization. We offer a stylized view of family firms as internationalizers who choose to engage in “boundary-spanning” across global product markets while engaging in “boundary-buffering” to insulate themselves from global financial markets (albeit many family firms do make limited recourse to debt and equity capital markets). In contrast, the basic internationalization strategy of most – but certainly not all – “financialized” firms involves an attempt to span the boundaries of both product and financial markets worldwide.

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